

1.

Between 2014 and 2018, the pound fell by more than 20% against the dollar and euro. Some argued that this would benefit the UK's macroeconomic performance, but others claimed that a lower exchange rate will cause problems.

Assess the view that a depreciation of the pound against other currencies is likely to improve the UK's macroeconomic performance.

[25 marks]

2.

Extract C (lines 2 – 4) asks: 'Is it time the UK considered manipulating its currency directly and managing its exchange rate in order to reduce the ever-increasing trade deficit and to help improve its performance?'

Using the data and your knowledge of economics, evaluate the view that the UK should focus its monetary policy on managing the exchange rate in order to improve macroeconomic performance.

[25 marks]

3.

In January 2009, £1 could buy approximately 1.04 euros on the foreign exchange market. By July 2015, £1 could buy approximately 1.44 euros.

Evaluate the impact on the UK's macroeconomic performance of a sustained rise in the value of the pound sterling against the euro.

[25 marks]

4.

It is now nearly a decade since the financial crisis caused a recession in the UK. In March 2009, the Monetary Policy Committee (MPC) set the UK Bank Rate at 0.5%, which was a record low, in order to stimulate economic growth.

Discuss the importance of low interest rates in bringing about sustained economic growth in an economy such as the UK.

[25 marks]

5.

It is now nearly a decade since the financial crisis caused a recession in the UK. In March 2009, the Monetary Policy Committee (MPC) set the UK Bank Rate at 0.5%, which was a record low, in order to stimulate economic growth.

Explain the main features of a recession.

[15 marks]

6.

The Office for Budget Responsibility (OBR) forecast that government spending would account for 36% of GDP by 2020 compared to 45% of GDP in 2010.

To what extent do you regard a contraction of the public sector to be beneficial for the UK economy? Justify your answer.

[25 marks]

7.

Extract C (lines 21 – 22) states: 'Any kind of deal between the EU and ASEAN economies is still a long way off, and the UK must wait to see how new trade deals affect its macroeconomic performance.'

Using the data and your knowledge of economics, evaluate the extent to which international agreements to increase free trade are likely to be beneficial to the UK's macroeconomic performance.

[25 marks]

8.

Extract F (line 21) asks: 'Why are productivity rates in other economies important for the UK?'

Using the data and your knowledge of economics, evaluate the significance of productivity improvements in the UK **and** in other EU economies for the performance of the UK economy.

[25 marks]

9.

Extract E (lines 9–10) states 'Improvements in productivity on the supply side of the economy could actually lead to more deflation.'

With the help of a diagram, explain how improvements in productivity could cause deflation.

[9 marks]

10.

The table below shows the Consumer Prices Index for a country over a number of years.

Year	End of year prices index
1	100
2	98
3	103
4	105
5	106
6	104
7	107

Which one of the following statements is correct?

- A** The country suffered disinflation in Year 5
- B** The inflation rate was highest in Year 7
- C** The only time the country suffered deflation was in Year 2
- D** Real incomes fell between Year 1 and Year 7

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[1 mark]

11.

The information below shows the changes in key economic indicators for a country over a period of one year.

Money GDP	Rate of inflation	Population increase	Gini coefficient
+6%	+4%	+1%	–8%

Which one of the following can be concluded from the data?

- A External costs generated from economic activity have reduced the quality of life ☐
- B Real GDP per capita has fallen ☐
- C The distribution of income has become more unequal ☐
- D The standard of living of typical residents in the country has probably improved ☐

[1 mark]

12.

The Government has ruled out the possibility of a rise in VAT before 2020 but other indirect taxes may increase. It has also stated that the personal income tax allowance will be increased from £10 800 in 2015/16 to £12 500 by 2020, and plans to cut the main rate of corporation tax from 20% to 17%.

Evaluate the economic consequences for the UK economy of a significant shift in the burden of taxation from direct taxes to indirect taxes.

[25 marks]

13.

Between 2011 and 2016, UK unemployment fell from a high of 8.5% to 4.8%. Some argue that government attempts to reduce unemployment inevitably lead to trade-offs with other macroeconomic policy objectives.

Discuss the view that falling unemployment will inevitably lead to trade-offs with other macroeconomic policy objectives.

[25 marks]

14.

The table below shows indices for real GDP and consumer prices in an economy over six quarters.

Quarter	Index of real GDP	Index of consumer prices
1	106	100
2	105	105
3	104	111
4	105	116
5	107	120
6	110	123

During these six quarters the economy experienced

- A deflation and a recession.
- B disinflation when in recession.
- C disinflation when recovering from recession.
- D rising inflation when recovering from recession.

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[1 mark]

15.

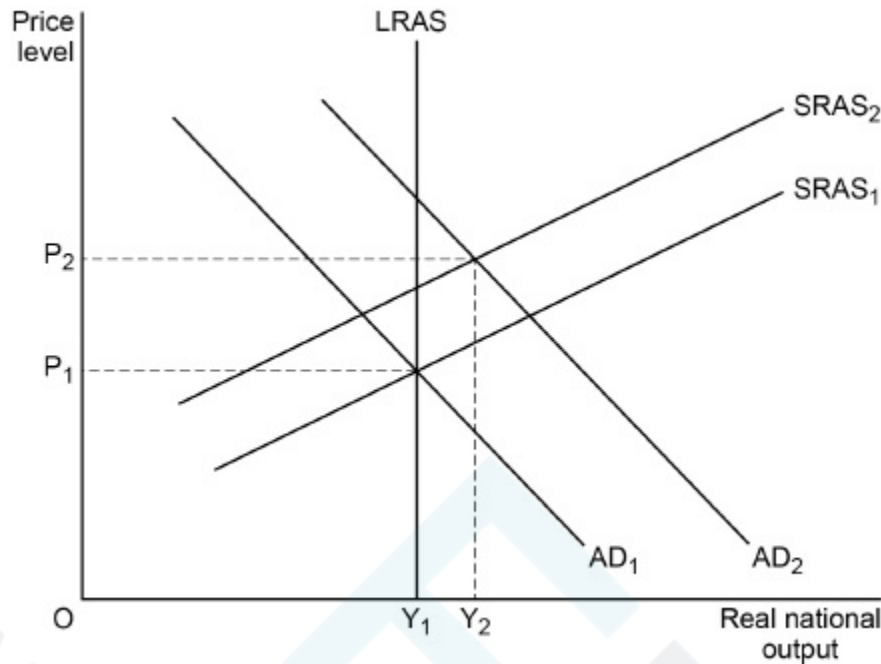
Extract F (lines 19–20) states ‘What is not clear is what should be done if low inflation turns to bad deflation.’

Using the data in the extracts and your knowledge of economics, evaluate the view that monetary policy is the most effective way of tackling deflation in developed economies such as the UK and Japan.

[25 marks]

16.

The diagram below shows two aggregate demand (AD) curves, two short-run aggregate supply (SRAS) curves, and the long-run aggregate supply (LRAS) curve for an economy.



The increase in the price level from P_1 to P_2 raises the rate of inflation above the target rate set by the government. In an attempt to bring inflation back to its target rate, the central bank announces a change in interest rates. Other things being equal, this is most likely to

- A create upward pressure on the exchange rate.
- B increase bond prices.
- C make business loans more affordable.
- D reduce the cost of servicing the national debt.

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[1 mark]

17.

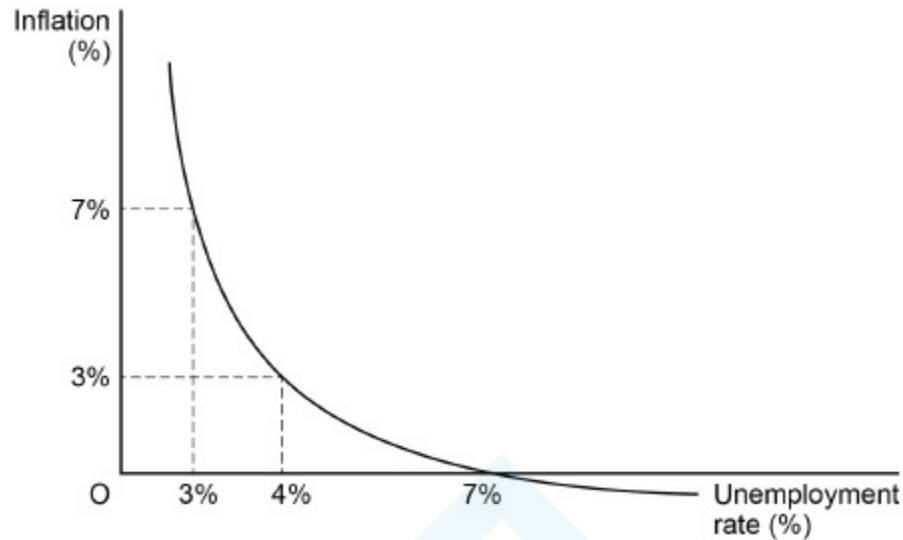
In the 2016 Autumn statement, the UK Chancellor of the Exchequer, Philip Hammond, officially abandoned the government's policy of trying to achieve a budget surplus by 2020. While some criticise the government for failing to achieve its fiscal target, others argue that the government should be doing more to help the supply side of the economy.

Evaluate whether achieving a budget surplus is a desirable objective of economic policy.

[25 marks]

18.

The short-run Phillips curve below illustrates the relationship between unemployment and inflation in an economy.



The Phillips curve shows that in this economy

- A high inflation leads to high unemployment.
- B there is an inversely proportional relationship between unemployment and inflation.
- C the trade-off for reducing inflation from 7% to 3% is a 4% increase in unemployment.
- D the trade-off for reducing unemployment from 7% to 4% is 3% inflation.

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[1 mark]

19.

Extract F (lines 10–12) states ‘The Austrian economist, Friedrich Hayek, highlighted artificially low interest rates and excessive credit creation as being the main causes of cyclical instability.’

Using the data in the extracts and your knowledge of economics, evaluate the view that maintaining low interest rates for a sustained period of time may be damaging to the UK’s macroeconomic stability.

[25 marks]

20.

Despite its central bank operating a policy of quantitative easing for several years, an economy has rising unemployment and a rate of inflation significantly below the target rate set by the government. All other things being equal, which one of the following actions is the central bank most likely to take in order to meet the target for inflation?

- A A policy leading to an appreciation of the exchange rate.
- B An increase in its base rate of interest and the reversal of its quantitative easing policy.
- C Providing forward guidance indicating that the bank will continue with its programme of quantitative easing.
- D Selling some of its stock of government bonds to other financial institutions.

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[1 mark]

21.

Extract E (lines 16–17) states ‘However, some argue that trying to maintain stable prices and low unemployment could create trade-offs.’

With the help of a diagram, explain why a trade-off between price stability and low unemployment might occur.

[9 marks]

22.

Extract B (lines 21) states ‘Although some argue that a current account deficit is not a problem, others point to the worryingly large and persistent nature of the deficit.’

Using the data in the extracts and your knowledge of economics, assess the impact of a persistent current account deficit on the macroeconomic performance of the UK economy.

[25 marks]

23.

An economy had a 3% increase in its real GDP over a one-year period. In the same period its population grew by 5% and its rate of inflation was 2.5%. From these data it can be inferred that

- A its Human Development Index decreased by 2%.
- B nominal GDP per capita increased.
- C real wages fell due to inflation.
- D the number of unemployed people increased.

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[1 mark]

24.

Since 1998, the Bank of England has had responsibility for the operation of monetary policy and maintaining price stability. In response to the financial crisis of 2007–08, the Financial Services Act 2012 gave the Bank of England overall responsibility for financial stability. This was designed to reduce systemic risk and the impact on the real economy of problems that arise in financial markets.

Evaluate the view that strict rules and regulations on financial markets are essential to help create a more stable economy.

[25 marks]

25.

All other things being equal, if the velocity of circulation is constant, the quantity theory of money based on Fisher's equation of exchange, $MV=PQ$, predicts that an $x\%$ increase in the money supply will always cause an $x\%$

- A** decrease in the rate of interest.
- B** increase in nominal national income.
- C** increase in real national income.
- D** increase in the rate of economic growth.

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[1 mark]

26.

The table below contains selected data on a country's macroeconomic performance over a 20 year period.

Year	Unemployment (%)	Rate of inflation (%)	Balance of trade on current account (\$ bn)
1998	6.0	3.5	-20
2003	5.8	3.0	-19
2008	5.5	2.5	-12
2013	5.2	2.0	-2
2018	5.0	1.5	+3

All other things being equal, which one of the following, **A**, **B**, **C** or **D**, can be inferred from the above data?

- A** The natural rate of unemployment is falling ☐
- B** The price level is increasing more slowly ☐
- C** The volume of exports is increasing ☐
- D** There is an inverse relationship between unemployment and inflation ☐

[1 mark]

27.

In the past few years, CPI inflation has often differed by more than 1% from its 2% target. In the winter of 2015 the UK experienced a brief period of deflation but, more recently, inflation has been over 3%.

Explain the main causes of a rise in inflation.

[15 marks]

28.

In the past few years, CPI inflation has often differed by more than 1% from its 2% target. In the winter of 2015 the UK experienced a brief period of deflation but, more recently, inflation has been over 3%.

Evaluate the view that inflation is always preferable to deflation.

[25 marks]

29.

Since 1998, the Bank of England has had responsibility for the operation of monetary policy and maintaining price stability. In response to the financial crisis of 2007–08, the Financial Services Act 2012 gave the Bank of England overall responsibility for financial stability. This was designed to reduce systemic risk and the impact on the real economy of problems that arise in financial markets.

Explain how the monetary policy transmission mechanism works when the Monetary Policy Committee (MPC) raises Bank Rate.

[15 marks]

30.

Using the data in **Extract D (Figure 1)**, calculate, to **two** decimal places, the mean inflation rate for Japan from 2010 to 2015.

[2 marks]